

BLAST FROM THE PAST



2000

ENTERS THE PACKAGED DRINKING WATER SEGMENT WITH THE LAUNCH OF KINLEY BOTTLED WATER

UNFURLS THE 'THANDA MATLAB COCA-COLA' CAMPAIGN

2003



2007

LAUNCHES THE MINUTE MAID JUICE BRAND

ENTERS VALUE-ADDED DAIRY DRINKS MARKET WITH VIO; TWO YEARS LATER, ENTERS ENHANCED HYDRATION SPACE WITH AQUARIUS GLUCOCHARGE

2016



2022

THUMS UP AND SPRITE HIT THE \$1-BILLION MARK IN RETAIL SALES

company launch its products in glass bottles. "We look at low-cost solutions in some of these places and glass has done well in Nepal and Bangladesh, too. Many of these markets have the traditional distribution systems and it helps since we saw that phase in India," says Reetima Rakyan, Vice President of Coca-Cola Southwest Asia.

At the same time, globally as well as in India, carbonated beverages have not had it easy because of increased health awareness (especially related to sugar). A transition, which was necessary to ensure the large consumer base remains unaffected, has been set in motion.

Jagdish Sheth, Charles H. Kellstadt Professor of Business at Emory University's Goizueta Business School, believes Coca-Cola (globally) has been successful in diversifying into more growth-oriented beverages such as BodyArmor, Costa Coffee and Honest Tea. He points out that Coca-Cola adopted the conscious strategy of defining its business as a beverages business and not just carbonated beverages. "Fortunately, it has a large free cash flow as well as more than \$11 billion of cash on its balance sheet. Rather than returning the cash to its investors either through an increase in dividend or a share buyback, it has decided to invest in higher growth businesses but

in the same category of business, namely beverages."

The India strategy also mirrors another component of the strategy in more developed markets. "The core competence of Coca-Cola is its distribution system and how it serves its largest customers such as McDonald's and the hospitality industry. This was really proven during the pandemic," says Sheth, adding that the company will innovate more on its logistics and supply chain with the use of cloud computing, wireless technology, Blockchain, and AI. "All this gives the company more economies of scope in addition to the scale and speed of supplying more than 200 brands."

Ray compares the India story of his company to where it was in China 20 years ago before things took off. "That kind of growth in India is inevitable and this is a once-in-a-decade opportunity for us," he says. If that is true, where is Coca-Cola India then placed? "Oh, we still believe we are in day one," he says with a grin.

The corollary to that could well be "we won't stop". Which, incidentally, is what *Memu Aagamu* means in Telugu. It's all connected, see? **BT**

@krishnagopalan